

Terms of Reference For Developing Finance and Procurement Policies for Start Bangladesh Hub

Background

Start Bangladesh Hub (SBH) is the national humanitarian hub of Start Network in Bangladesh. It is a locally led platform comprising national and international NGOs that work collectively to strengthen humanitarian preparedness, anticipatory action, emergency response, localization, and collective action in Bangladesh. As the Start Bangladesh Hub (SBH) continues its transition towards becoming a more structured, sustainable, and legally recognized humanitarian organization in Bangladesh, there is a growing need to establish comprehensive institutional policies that strengthen its financial and operational management systems. While the Hub has already developed its Strategy, Governance Protocol, and Operational Framework, these institutional documents need to be complemented by dedicated Finance and Procurement Policies that provide clear guidance for the effective stewardship of financial resources and procurement processes.

The Finance and Procurement Policies will establish standardized principles, procedures, and internal controls for financial management, budgeting, accounting, resource utilization, procurement planning, purchasing, contract management, and compliance. Together, these policies will provide the institutional framework required to ensure transparency, accountability, value for money, sound financial governance, and effective management of organizational resources in accordance with applicable national laws, donor requirements, and internationally recognized standards.

The development of these policies will strengthen the Hub's institutional capacity to manage grants and financial resources responsibly, implement transparent procurement practices, mitigate financial and operational risks, and ensure compliance with fiduciary obligations. They will also enhance organizational readiness for future legal registration, direct funding opportunities, expanded program implementation, and long-term institutional sustainability.

The Finance and Procurement Policies will be developed through a participatory and consultative process involving Hub members, governance representatives, Secretariat staff, and other relevant stakeholders to ensure that the policies are practical, contextually appropriate, aligned with Bangladesh's regulatory framework, and consistent with international best practices in financial management and procurement.

ESDO is hosting the START HUB in Bangladesh. The Eco-Social Development Organization (ESDO) is a national-level NGO in Bangladesh, currently operating in 57 districts through 118 ongoing projects and programmes funded by 54 donors. ESDO manages 506 offices nationwide, employing 5,717 staff members. ESDO is registered with the NGO Affairs Bureau (Reg. No: 694/93; Renewed: 2018; Registration Date: 15/03/1993; Expiry Date: 14/03/2028), along with other legal entities.

Objectives

The activity aims to:

- Develop comprehensive Finance and Procurement Policies that establish a clear, consistent, and accountable framework for the financial and procurement management functions of the Start Bangladesh Hub.
- Establish standardized policies, procedures, and internal controls for financial planning and budgeting, accounting, financial reporting, procurement planning, purchasing, contract management, asset management, and grant administration.



- Strengthen institutional accountability, transparency, fiduciary oversight, and compliance in all financial and procurement operations.
- Promote efficient, competitive, transparent, and value-for-money procurement practices while ensuring effective stewardship and responsible management of organizational resources.
- Reduce financial, operational, fiduciary, and procurement-related risks through the establishment of robust internal control systems and risk management measures.
- Enhance the Hub's institutional capacity to manage donor resources, meet compliance obligations, and support future organizational growth, legal registration, and direct management of grants and humanitarian funding.
- Ensure that the Finance and Procurement Policies are aligned with the Start Network's principles and values, Bangladesh's legal and regulatory requirements, donor expectations, and internationally recognized standards for financial management and procurement.

Role of the Local Consultant

A national consultant will be engaged to lead the policy development process and facilitate consultations with Hub members and stakeholders.

The consultant will be responsible for:

1. Policy Review and Institutional Assessment

The consultant will:

- Review existing governance and operational documents, including:
 - Hub Strategy
 - Governance Protocol
 - Operational Framework
- Assess current operational practices and institutional requirements.
- Review relevant legal and regulatory requirements in Bangladesh.
- Analyze good practices from Start Network members and comparable NGO networks.

2. Development of Finance Policy

The consultant will develop a comprehensive Finance Policy covering:

A. Financial Governance: The Finance Policy will establish a clear financial governance framework by defining the financial oversight and accountability mechanisms required to ensure sound financial management. It will clearly outline the roles, responsibilities, and authorities of the Board of Trustees, Executive Committee, management, and relevant staff members in financial planning, decision-making, oversight, and reporting.

B. Budget Management: The policy will provide comprehensive guidance on the organization's annual planning and budgeting process, including the preparation, review, consolidation, approval, implementation, and monitoring of organizational and project budgets.

C. Financial Controls: The Finance Policy will establish a strong internal control framework designed to safeguard organizational assets and ensure the integrity of financial transactions.

D. Cash and Bank Management: The policy will provide detailed procedures for effective cash and bank management, including the establishment, operation, and closure of bank accounts, cash receipt and payment procedures, petty cash management, and bank reconciliation processes. It will specify authorized signatory requirements, approval processes for financial transactions, and procedures for managing multiple currencies and foreign exchange transactions where applicable.

E. Accounting and Record Keeping: The Finance Policy will establish standardized accounting procedures that ensure accurate, complete, and timely financial recording and reporting. It will define the organization's accounting system, including the Chart of Accounts, financial



documentation standards, bookkeeping procedures, financial reporting requirements, and record retention policies.

F. Audit and Compliance: The policy will define the organization's approach to internal and external audits, including audit planning, implementation, reporting, and follow-up actions. It will establish mechanisms for monitoring compliance with applicable laws, regulations, donor agreements, and organizational policies while incorporating provisions for financial risk assessment and risk management.

G. Fraud and Corruption: The Finance Policy will establish clear measures for the prevention, detection, reporting, and management of fraud and corruption. It will describe common warning signs of fraudulent activities, define prohibited corrupt practices, and establish procedures for reporting suspected misconduct through confidential whistleblowing mechanisms.

H. Sub-grant Management: The policy will provide comprehensive guidance for the financial management of sub-grants awarded to implementing partners. It will establish procedures for fund disbursement, define financial reporting requirements for sub-grantees, and outline financial monitoring and compliance mechanisms to ensure appropriate utilization of funds.

I. Taxation: The Finance Policy will define the organization's approach to taxation by outlining applicable tax laws, statutory obligations, tax exemptions where relevant, withholding tax requirements, value-added tax (VAT) procedures, payroll taxes, and compliance with all national tax regulations.

J. Fixed Asset Management: The policy will establish procedures for the acquisition, registration, safeguarding, utilization, maintenance, physical verification, depreciation, transfer, and disposal of fixed assets. It will define asset capitalization thresholds, asset tagging procedures, responsibilities for asset custodianship, inventory verification processes, and reporting requirements to ensure effective stewardship of organizational assets throughout their lifecycle.

K. Resource Mobilization and Grant Management: The Finance Policy will provide guidance on the financial management of grants and other funding resources received by the organization. It will establish principles for fund management, budgeting, expenditure monitoring, and financial accountability while ensuring compliance with donor regulations and contractual obligations.

3. Development of Procurement Policy

The consultant will develop a Procurement Policy that promotes transparency, fairness, competition, and value for money. The policy should cover:

A. Procurement Principles: The Procurement Policy will establish the fundamental principles that guide all procurement activities within the organization. It will promote transparency by ensuring that procurement processes are conducted openly and documented appropriately, while strengthening accountability through clearly defined roles and responsibilities for procurement decision-making. The policy will encourage fair and open competition to maximize value for money and ensure equal opportunities for qualified suppliers.

B. Procurement Planning: The policy will provide comprehensive guidance on procurement planning to ensure that purchasing activities are aligned with organizational objectives, operational requirements, and approved budgets. It will establish procedures for the preparation, review, and approval of annual procurement plans, incorporating anticipated procurement needs, estimated costs, procurement schedules, and funding sources.

C. Procurement Methods: The Procurement Policy will define the various procurement methods that may be applied depending on the nature, value, complexity, and urgency of procurement requirements. It will establish clear procedures and eligibility criteria for direct procurement, requests for quotations, competitive bidding, and framework agreements.

D. Vendor Management: The policy will establish procedures for the effective management of suppliers throughout the procurement lifecycle. It will define processes for vendor registration, prequalification, and selection based on objective eligibility and evaluation criteria. The policy will



also incorporate due diligence procedures to assess the legal status, financial capacity, technical competence, ethical standards, and compliance history of prospective suppliers.

E. Procurement Approval Levels: The Procurement Policy will establish a clear delegation of authority framework governing procurement approvals and financial commitments. It will define approval thresholds based on procurement values and identify the respective authorities responsible for reviewing and approving procurement requests, evaluation recommendations, contract awards, and purchase orders.

F. Contract Management: The policy will provide comprehensive guidance on contract management to ensure that procurement contracts are effectively administered throughout their lifecycle. It will establish procedures for contract preparation, legal review, approval, execution, and record management while clearly defining the roles and responsibilities of contract managers and implementing units.

G. Conflict of Interest and Ethics: The Procurement Policy will establish a robust ethical framework to safeguard the integrity of procurement processes. It will define conflict of interest provisions requiring all individuals involved in procurement activities to disclose any actual, potential, or perceived conflicts that may influence procurement decisions. The policy will also include procurement integrity requirements and comprehensive anti-fraud and anti-corruption measures designed to prevent bribery, collusion, favoritism, coercion, and other unethical practices.

Validation Workshops

A key component of the activity will be organising participatory workshop to validate and refine the draft policies.

Workshop Participants

- General Members of Start Bangladesh Hub
- Secretariat Representatives

Workshop Objectives

- Present draft policies.
- Gather technical and operational feedback.
- Ensure policies reflect the realities and needs of Hub members.
- Build consensus and ownership.
- Validate implementation arrangements.

Suggested Workshop Structure: Finance & Procurement Policy Validation

- Financial governance arrangements.
- Budgeting and control mechanisms.
- Financial accountability discussions.
- Procurement processes and thresholds.
- Vendor management systems.
- Compliance and transparency mechanisms.

Proposed Process and Timeline

Phase	Activities	Duration
Phase 1	Inception and document review	1 week
Phase 2	Institutional assessment and consultations (FGD, KII with respective members and sub-committees)	1 week
Phase 3	Drafting Policy	3 weeks
Phase 4	Validation Workshop	1 day
Phase 5	Final revision and consolidation	1 week

Estimated Duration: 6-8 weeks



Expected Deliverables

The consultant will provide:

1. Inception Report and work plan.
2. Institutional policy needs assessment report.
3. Draft Finance Policy.
4. Draft Procurement Policy.
5. Facilitation of validation workshop. (Workshop organised by ESDO)
6. Final Finance Policy.
7. Final Procurement Policy.
8. Policy implementation and dissemination plan.

Expected Outcomes

Upon completion of this consultancy, the Start Bangladesh Hub will have comprehensive Finance and Procurement Policies that establish a robust institutional framework for the effective management of financial resources and procurement functions. The approved policies will provide standardized procedures, governance mechanisms, and internal control systems to ensure sound financial management, transparent procurement practices, prudent stewardship of organizational assets, and compliance with applicable legal and donor requirements.

The Finance Policy will strengthen the Hub's financial governance by establishing clear processes for budgeting, accounting, financial reporting, internal controls, grant management, asset management, audit, and risk management. Similarly, the Procurement Policy will provide standardized procedures for procurement planning, vendor management, competitive procurement, contract administration, and ethical procurement practices, ensuring transparency, fairness, accountability, and value for money throughout the procurement cycle.

Together, these policies will enhance the Hub's institutional credibility, strengthen governance and fiduciary oversight, reduce financial and procurement-related risks, and improve operational efficiency. They will also position the Hub to meet national regulatory requirements, comply with donor expectations, effectively manage humanitarian grants and resources, and support future legal registration, direct funding opportunities, and sustainable organizational growth. By establishing clear financial and procurement management systems, the policies will reinforce member confidence and contribute to the Hub's long-term institutional sustainability and accountability.

Reporting Line

The consultant will **report directly to the Hub Coordinator, Start Bangladesh Hub** and work closely with the Country Manager- SFB, Chair and Co-Chair of the Executive Committee (EC). Regular updates will also be shared with the Start Network Secretariat for alignment.

Required Qualifications and Experience

The consultant or consulting firm should possess demonstrated expertise in financial management, procurement systems, and institutional policy development, particularly within the non-profit, humanitarian, or development sector. The consultant is expected to meet the following minimum qualifications and experience requirements:

- An advanced degree in Finance, Accounting, Procurement and Supply Chain Management, Business Administration, Public Administration, Economics, or another relevant discipline. Professional qualifications such as CA, ACCA, CPA, CIPS, or equivalent will be considered an added advantage.
- **At least 10 years of professional experience** in financial management, procurement management, institutional governance, or organizational capacity strengthening, preferably with national or international NGOs, humanitarian organizations, networks, or development agencies.



- Proven experience in developing or reviewing Finance Policies, Procurement Policies, Financial Manuals, Procurement Manuals, Internal Control Frameworks, or other institutional financial and procurement management systems for non-profit organizations, networks, or similar institutions.
- Strong knowledge of financial management principles, procurement best practices, internal controls, donor compliance requirements, grant management, audit processes, and risk management, together with a sound understanding of Bangladesh's financial, taxation, procurement, and regulatory frameworks applicable to non-profit organizations.
- Demonstrated experience in designing participatory and consultative policy development processes involving diverse stakeholders, including governing bodies, management, finance personnel, procurement staff, and partner organizations.
- Excellent analytical, facilitation, stakeholder engagement, and policy drafting skills with the ability to develop practical, risk-based, and implementable Finance and Procurement Policies that align with organizational needs and international standards.
- Excellent written and verbal communication skills in both English and Bangla, with demonstrated experience in preparing high-quality policy documents, facilitating stakeholder consultations, and delivering technical guidance to diverse audiences.

Evaluation Criteria

Criteria	Weight
Relevant Experience & Expertise	30%
Technical Proposal & Methodology	30%
Previous Work Quality / Samples	20%
Financial Proposal	20%

Payment Terms

Payment will be made in instalments based on deliverable submission and approval:

- 20% upon submission and approval of Inception Report
- 40% upon submission of Draft policy
- 40% upon approval of Final policy

Application Process

Interested individual consultants or firms are invited to submit:

1. A technical proposal outlining understanding of the assignment, approach, methodology, and work plan.
2. A financial proposal indicating total cost in BDT (inclusive of VAT/TAX).
3. CV(s) of key personnel.
4. Two samples of similar previous work.
5. References from recent clients.

Applications must be submitted via email to tenderdhaka@esdo.net.bd and make cc ahsan.starthubbangladesh@gmail.com, addressing the Convener, Central Procurement Committee, Eco-Social Development Organization (ESDO), House-748, Road 08, Adabor, Dhaka, no later than 11 August 2026 by 4:00 PM.

For any query email to the procurement no later than 6 August, 2026.

